

FEDERAL MARITIME COMMISSION

CERTIFIT, INC.,

Complainant,

-against-

EVERGREEN SHIPPING AGENCY
(AMERICA) CORP., AS AGENT FOR
EVERGREEN LINE, EVERGREEN GROUP
d/b/a EVERGREEN LINE,

Respondent.

Docket No. 23-03

BRIEF FOR RESPONDENT,
EVERGREEN SHIPPING AGENCY (AMERICA) CORP.,
AS AGENT FOR EVERGREEN LINE,
EVERGREEN GROUP d/b/a EVERGREEN LINE

Edward A. Keane
Garth S. Wolfson

Of Counsel

MAHONEY & KEANE, LLP
Attorneys for Respondent
40 Worth Street, Suite 602
New York, New York 10013
(212) 385-1422

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PRELIMINARY STATEMENT

PLEASE TAKE NOTICE that, pursuant to the Scheduling Order dated July 21, 2023, Respondent, EVERGREEN SHIPPING AGENCY (AMERICA) CORP. (“EGA”), AS AGENT FOR EVERGREEN LINE, EVERGREEN GROUP d/b/a EVERGREEN LINE (“EVERGREEN”), by its attorneys Mahoney & Keane, LLP, provides the following points of law in opposition to the arguments asserted in the Brief for Complainant, CERTIFIT, INC. (“CERTIFIT”).

PROPOSED FINDINGS OF FACT

1. At all pertinent times, EGA was and is an agent, and agent only, acting within the scope of its agency for the identified Carrier, Evergreen Line A Joint Service Agreement (FMC#01 1982) consisting of 1) Evergreen Marine Corp. (Taiwan) Ltd' 2) Evergreen Marine (UK) Limited 3) Italia Marittima SPA 4) Evergreen Marine (Hong Kong) Ltd. 5) Evergreen Marine (Singapore) Pte. Ltd. (Service Contract, Exhibit A), as well as Evergreen Marine (Asia) Pte. Ltd. See, Bennett Declaration (citing other Appendix Documents), RX1-8, at ¶ 3.

2. EGA is not a common carrier, ocean transportation intermediary, or terminal operator. Nor does EGA hold itself out as such, take responsibility for cargo transportation or storage, or make use of ocean-going vessels. Id. at ¶ 4.

3. Moreover, EGA’s status “As Agent” for EVERGREEN was expressly disclosed in the subject Service Contract, the Bills of Lading, all of the correspondence, and the EGA’s website cited by the Complainant, CERTIFIT INC. (“CERTIFIT”). Id. at ¶ 5.

4. The Service Contract at issue covered the period from April 27, 2020 to April 30, 2021 and called for a Minimum Quantity Commitment (“MQC”) of 1,000 TEU’s. Id. at ¶ 6.

5. Given the uncertainties in the trade, and as a key factor impacting the applicable rates, the parties to the Service Contract agreed in advance to avail themselves only of particular remedies in the event any failure to meet Minimum Quantity Commitment (“MQC”). Id. at ¶ 7. It took particular pains to memorialize that, “[t]he Carrier and Merchant agree that in light of the fact that the volume and timing of cargo tendered hereunder for particular sailings is in the control of the Merchant, who cannot specify with certainty the amount of cargo which it will tender on any given date, and by virtue of the fact that the Carrier has a finite amount of space on its vessels in which to carry the Merchant's cargo as well as cargo carried pursuant to Service Contracts entered into with other Merchants in the trade, some flexibility is needed by the Carrier with respect to its service commitment to the Merchant hereunder.” Id.

6. CERTIFIT’s could thus elect to have EVERGREEN “subtract the quantity of cargo tendered but not carried on Carrier's vessel from the Minimum Quantity Commitment.” Id. at ¶ 8. Otherwise, EVERGREEN might be entitled to liquidated damages for any shortfall on the part of CERTIFIT. Id. at ¶ 9 (As discussed below, for this reason EVERGREEN offered to amend the Service Contract to reduce the MQC, since the shortfall arose solely due to the supply-chain disruptions caused by the COVID-19 Pandemic. This second Amendment had nothing to do with the earlier Amendment offered to add a port, without a reduction in the MQC, in the hope that more CERTIFT cargo might be booked).

7. The Service Contract provided:

If the Carrier fails to fulfill its Service Commitment in Article 3 hereof during the Contract term, the Merchant's remedy shall be either (1) reduction of the Minimum Quantity Commitment by the quantity of cargo tendered but not carried as provided in subparagraph 3.2.1 or, (2) the extension of the Contract term as specified in Clause 3.2.2. The Carrier shall not be liable to the Merchant for any direct, consequential or other damages under this Contract, except as set forth in Article 3, nor shall any liabilities or

obligations of the Merchant to the Carrier be subject to any offset or credit by virtue of any monies which the Merchant may claim are due him under this Contract or otherwise.

Id. at ¶ 10.

8. With no complaint from EVERGREEN, for the first months of the contract period, CERTIFIT was not on pace to meet MQC, even though EVERGREEN could have accommodated its shipments, CERTIFIT conceding, “[m]any of our suppliers closed or reduced production earlier this year due to the pandemic, which put us behind our usual pace of shipment.” Id. at ¶ 11.

9. But by mid-August of 2020, CERTIFIT advised that “now most are back on line, and we have been tendering containers in increasingly higher numbers,” and CERIFIT began complaining of insufficient space. Id. at ¶ 12.

10. In each instance, timely EGA responded that the incapacity was due to the unique effects of the COVID-19 pandemic on supply-chain, reasons beyond EVERGREEN’s control, and that EVERGREEN was nonetheless not seeking any rate increase. Id. at ¶ 13.

11. Indeed, and also as widely reported elsewhere at the time, the Federal Maritime Commission has itself since found that the pandemic resulted in “extreme supply chain port and marine terminal congestion” during this period, including, inter alia, “an unexpected and unprecedented surge in consumer spending, particularly in the United States, and supply chain congestion,” which was “the product of the market forces of supply and demand,” rather than any alleged collusive behavior or price-gouging. Id. at ¶ 14.

12. The evidence of the impact of the pandemic on virtually all commerce can be seen in CERTIFIT’s own correspondence, wherein it admitted it was unable to ship cargo during the early months of the pandemic. Id. at ¶ 15. As FFno29 recounts, the impact of the pandemic

affected different elements of the supply chain in different ways at different times. Its effects grew on carriers, while some manufacturers, such as CERTIFIT, suffered its ramifications at an earlier stage. Id. But just as CERTIFIT was unable to perform its obligations in the early part of the pandemic, EVERGREEN was overcome by supply-chain failures later in the pandemic. Id.

13. In an effort to assist, on or about January 8, 2021, Amendment SC82616-1 was offered to CERTIFIT. Id. at ¶ 16. Contrary to CERTIFIT's patent misstatement of fact, the 1000 TEU MQC would have remained unchanged. Id. Due to persistent equipment shortages at Keelung/Taoyun, it was thought Taipei might be added (at the same rate), so that more CERTIFIT cargo might be booked. Id. It was just an attempt to address the problem of insufficient booking from Kaohsiung, since the approval of the Taipei port would have allowed for more bookings. Id. Certainly, neither EGA nor EVERGREEN ever tried to coerce CERTIFIT to sign the Amendment by threatening to withhold space, charge a higher rate, or in any other manner. Id. To be sure, the text of the Amendment and the correspondence associated with it confirm that no such conduct on the part of EGA or EVERGREEN ever occurred. Id.

14. In any event, CERTIFIT never signed the Amendment, so the situation remained unchanged. Id. at ¶ 17.

15. Months later, on or about April 28, 2021, EVERGREEN then separately offered to renegotiate the Service Contract so that CERTIFIT might avoid liquidated damages for its MQC shortfall. Id. at ¶ 18. Amendment SC82616-1 (T) would have thus reduced the TEU's from 1000 to 25. Id. It did not, as CERTIFIT falsely asserts, change any of the ports. Id. Again, this is readily confirmed by examination of the document itself. Id. CERTIFIT has thus conflated the two separate and discrete amendments. While EVERGREEN went on to carry 365 TEUs, not

merely 25, this second Amendment was designed not to benefit EVERGREEN but solely to avoid penalty to CERTIFIT as a result of the shortfall. Id.

16. Rather than show any improper activity on the part of EGA or EVERGREEN, the two proposed Amendments, when not misleadingly combined into one and twisted by CERTIFIT, demonstrate precisely the opposite: perfectly innocent and routine good faith efforts to try to assist, without raising rates or exposing CERTIFIT to liquidated damages, all in full accordance with the above-cited Service Contract provisions. Id. at ¶ 19.

17. In any event, CERTIFIT again declined the offer and instead sought to extend the contract by an additional number of sailings so as to satisfy the MQC requirement. Id. at ¶ 20.

18. However, in further correspondence and a telephone conference with CERTIFIT's counsel, the continuing supply-chain difficulties were explained and discussed, and potential avenues to resolve the situation were solicited. Id. at ¶ 21.

19. On or about May 26, 2021, CERTIFIT presented an offer of compromise, whereby capacity for at least 27 TEU's per week would be provided at a higher rate. Id. at ¶ 22.

20. On or about June 3, 2021, EGA presented EVERGREEN's counter-offer. Id. at ¶ 23. Notably, in light of the conditions still prevailing, EVERGREEN could only agree to 647 TEU's over 12 months, though warning that even that might be undermined by a continuation of the unforeseen market-driven forces. Id.

21. On or about June 10, 2021, CERTIFIT responded that it was "willing to accept Evergreen's compromise," and just had some questions. Id. at ¶ 24. On or about June 21, 2021, EGA answered those questions and again confirmed, inter alia, that EVERGREEN was not seeking any rate increase and would continue to exercise its best efforts to meet CERTIFIT's

requirements, but, given the ongoing supply-chain disruptions, could not absolutely guarantee the space would be available. Id.

22. However, no reply was received and, rather than go forward with the compromise, the instant Complaint followed. Id. at ¶ 25.

23. EGA notes that CERTIFIT has not really proved that it could have met MQC. Id. at ¶ 26.

24. But regardless, as indicated above, at no time did EGA or EVERGREEN ever act in bad faith or decline to negotiate with CERTIFIT. EGA and EVERGREEN attempted throughout to find solutions to possibly minimize the impact of the supply-chain disruption upon CERTIFIT, all in complete compliance with the above-cited terms of the Service Contract. Id. at ¶ 27.

25. At no point did EGA or EVERGREEN withhold services to try to secure higher rates. Id. at ¶ 28. Indeed, CERTIFIT's bookings continued throughout, and the only rate increase apparent from the documents provided by CERTIFIT's was the general rate increase (GRI) bulletin email sent in October of 2020 to all customers every month. Id. However, that bulletin had no bearing on the Service Contract at issue, and no rate increase applied to CERTIFIT. Id. The simple facts, confirmed by the documentary record, are that space for CERTIFIT's cargoes was never purposefully withheld, and CERTIFIT was never asked to increase its contract rate. EGA notes that CERTIFIT has presented no evidence of such conduct on the part of EGA or EVERGREEN, accordingly. Id.

26. And at no point did EGA or EVERGREEN favor other shippers or sell CERTIFIT's space on the spot market. Id. at ¶ 29. Not only has CERTIFIT, again, presented no colorable evidence to show otherwise, but such allegations are categorically denied and

demonstrably false. Id. Of the 133 total NVO house bills of lading disclosed by CERTIFIT, 30 bills of lading (covering 31 Containers) show carriage by EVERGREEN vessels. Id. However, all of them were under Ocean Alliance partners contracts (CMA/COSCO). Id. None of them were under EVERGREEN contract. Id.

27. The space contractually required to be allotted by a carrier to an Alliance partner is outside the control of the provider, which does not act as the “common carrier” nor issue bills of lading for such space. Id. at ¶ 30. Here, the space provided for CERTIFIT cargoes on EVERGREEN vessels was all afforded under bills of lading issued by other common carriers which had complete discretion over the space used. Id. The space was thus not for EVERGREEN to use and sell at its whim. So CERTIFIT’s argument that these documents suggest some sort of nefarious conduct or profiteering at CERTIFIT’s expense is wholly misplaced and demonstrates a fundamental misunderstanding of the trade, if not a rather sorry attempt to mislead this tribunal. Id.

ARGUMENT

INTRODUCTION.

By virtue of conduct said, as best as EVERGRREN can assess from CERTIFIT’s papers, to include: 1) failure to meet the minimum quantity commitment (“MQC”) under the parties’ Service Agreement; 2) EVERGREEN’s proposal of two amendments, which were rejected by CERTIFIT; 3) a flyer about future rate increases; and 4) CERTIFIT’s ability to book cargo on EVERGREEN vessels via non-vessel-operating common carriers at a time when EVERGREEN was advising of insufficient space; CERTIFIT claims violations 46 U.S.C. § 41104(a)(2)(A), 46 U.S.C. § 41104(a)(5), 46 U.S.C. § 41104(a)(9), 46 U.S.C. § 31104(a)(10), and 46 U.S.C. § 41102(c).

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. §§ 502.203; Maher Terminals, LLC v. Port Auth. of N.Y. & N.J., Docket No. 08-03, 2014 WL 9966245, at *14 (F.M.C. Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. Crocus Investments, LLC v. Marine Transport Logistics, Inc., Docket No. 15-04, 2021 WL 3732849, at *3-4 (F.M.C. Aug. 18, 2021) (Order Affirming Initial Decision on Remand). Such findings may not be drawn from mere speculation. Waterman Steamship Corp. v. General Foundries Inc., Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993), adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (F.M.C. June 13, 1994).

As discussed below, CERTIFIT has attempted to impute bad intent from altogether innocent, quotidian conduct on the part of EGA and EVERGREEN. While EGA has explained as much under oath, CERTIFIT continues to rely merely on conspiratorial innuendo and half-truths, not evidence. CERTIFIT has thus not met its burden of proof. Each of its claims is plainly without merit on both the facts and the law.

POINT I. THE FMC LACKS JURISDICTION OVER CERTIFIT’S CLAIMS, INASMUCH AS EGA IS NOT A COMMON CARRIER, MARINE TERMINAL OPERATOR, OR OCEAN TRANSPORTATION INTERMEDIARY.

“The term ‘common carrier’ - (A) means a person that - (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the

United States and a port in a foreign country.” 46 U.S.C. § 40102(7), accord, 46 C.F.R. § 515.2(e).

"[O]nly a carrier who has entered into a contract of carriage with the shipper has a duty to properly and carefully load, handle, stow, carry, keep, care for, and discharge the goods carried," Thyssen Steel Corp. v. The Adonis, 364 F. Supp. 1332, 1974 A.M.C. 389 (S.D.N.Y. 1973), and thus third-party beneficiary claims against vessel owners and operators have been routinely rejected. See, Glynwed Steels Ltd. V. Great Lakes and European Lines, 1979 A.M.C. 1290 (N.D. Ill. 1978); see also, Mahroos v. Tatiana L, 1988 A.M.C. 757 (S.D.N.Y. 1986); United Nations Children's Fund v. The Nordstern, 251 F. Supp. 833 (S.D.N.Y. 1965); see also, People's Democratic Republic of Yemen v. Goodpasture, Inc., 782 F.2d 346 (2d Cir. 1986).

And ordinary contract rules as applied under the federal maritime law determine who is a party to a contract, and the federal maritime law embraces agency principles. See, Kirno Hill Corp. v. Holt, 618 F.2d 982, 985 (2d Cir. 1980); Interocean Shipping Co. v. National Shipping and Trading Corp., 523 F.2d 527, 539 (2d Cir. 1975), cert. denied, 423 U.S. 1054 (1976).

So where the agency relationship is identified in the contract, the principal's agent will not be considered a party to the agreement and will not be bound by its terms. See, Hudson Trading Co. v. Hasler & Co., 11 F.2d 666, 667 (2d Cir. 1926); Tubos de Acero de Mexico v. Dynamic Shipping Inc., 249 F. Supp. 583, 1966 A.M.C. 1903 (S.D.N.Y. 1966). Indeed, as a long-standing matter of maritime law, “[t]he identity of the principal may be disclosed by description as well as by name, as where the agent made a contract ‘for the owners’ of a ship named.” Instituto Cubano de Estabilizacion del Azucar v. SS Theotokos, 155 F. Supp., 945, 948-49 (S.D.N.Y. 1957) (quoting Restatement of the Law of Agency, §4(e)); see also, Getty Oil Co. v. Norse Management Co., 711 F. Supp. 175, 177 (S.D.N.Y. 1989).

As such, the FMC has not hesitated to dismiss claims against such agencies as unregulated entities. See, e.g., OJ, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co., Docket N. 21-11, 2023 WL 3969857 (F.M.C. 2023) (“Based on the facts in this proceeding, HSNA is not a regulated entity under this section, but rather is an ‘other person’ with whom HSDG operated. Moreover, here, HSNA was acting as an agent of a disclosed principal, and such agents are typically not liable for the acts of their principal . . . Therefore, the allegations against HSNA are denied.”); Hapag-Lloyd, A.G. and Hapag-Lloyd (Am.) LLC – Possible Violations of 46 § 411-2(c), Docket No. 21-09, 2022 WL 1239377 (F.M.C. 2022) (“The evidence supports a finding that Hapag-Lloyd America was operating as the agent of a disclosed principal and that Hapag-Lloyd, A.G. is responsible for the conduct of its agent, Hapag-Lloyd America, with regard to the eleven containers at issue. Moreover, Hapag-Lloyd America was not operating as a regulated entity as required . . . Accordingly, Hapag-Lloyd America is dismissed.”); Logfret, Inc. v. Kirsha, B.V., Docket No. 18-10, 2019 WL 4689188 (F.M.C. 2019) (“The amended complaint does not make a plausible claim that the Respondents were NVOCCs as they did not hold themselves out or assume responsibility as required by the Shipping Act. Therefore, both personal and subject matter jurisdiction are lacking. In addition, there is no basis to assert jurisdiction based on Respondents being ‘other persons’ and no attempt is made to pierce the corporate veil.”) (citations omitted); Crocus Investments, LLC v. Marine Transport Logistics, Inc., Docket No. 15-04, 2016 WL 3457752 (F.M.C. 2016) (“Because Solovyev made it known that he was acting as an agent for the disclosed NVOCC principal MTL, Solovyev did not hold himself or RFG out to the public to provide transportation and did not assume responsibility for Complainants' boats. Operating as an NVOCC, MTL issued the bills of lading for the transportation from the United States to Dubai. Complainants have not proved by a

preponderance of the evidence that Aleksandr Solovyev acted as an ocean transportation intermediary (OTI), not as an agent for MTL in arranging for the international ocean transportation of Complainant's boats.”) (citations omitted); Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC, Docket No. 14-03, 2014 WL 5824274 (F.M.C. 2014) (“An agent acting on behalf of a disclosed NVOCC principal does not hold *itself* out to the general public to provide transportation because it holds out only *in the name of the NVOCC*, subject to that NVOCC's control . . . To the extent IFS performed any NVOCC services in Spain on the shipment from Spain to Puerto Rico, it did so as agent for NVOCC Neutral, its disclosed principal, and was not operating as an NVOCC itself.”) (emphasis in original).

In the instant case, only EGA “as agent” for EVERGREEN is named as a party in CERTIFIT’s Complaint. Moreover, while CERTIFIT concedes it was aware of EGA’s agency defense at least from the time it was pleaded as an affirmative defense in EGA’s Answer.

At all pertinent times, EGA was and is an agent, and agent only, for the identified Carrier, Evergreen Line A Joint Service Agreement (FMC#01 1982) consisting of 1) Evergreen Marine Corp. (Taiwan) Ltd' 2) Evergreen Marine (UK) Limited 3) Italia Marittima SPA 4) Evergreen Marine (Hong Kong) Ltd. 5) Evergreen Marine (Singapore) Pte. Ltd. (Service Contract, Exhibit A), as well as Evergreen Marine (Asia) Pte. Ltd. See, Bennett Declaration (citing other Appendix Documents), RX1-8, at ¶ 3.

EGA is not a common carrier, ocean transportation intermediary, or terminal operator. Nor does EGA hold itself out as such, take responsibility for cargo transportation or storage, or make use of ocean-going vessels. Id. at ¶ 4.

Moreover, EGA's status "As Agent" for EVERGREEN was consistently and expressly disclosed in the subject Service Contract, the Bills of Lading, all of the correspondence, and the EGA website cited by the CERTIFIT. Id. at ¶ 5.

Accordingly, no evidence has been presented to establish that EGA bound itself to the Service Contract or held itself out as anything other than an agent operating within the scope of its authority for EVERGREEN. While CERTIFIT has presented empty, entirely conclusory allegations to the contrary, the actual, uncontroverted factual record plainly shows otherwise. EGA is an unregulated entity beyond FMC jurisdiction and acted solely as an agent for a disclosed principal. Case after case has found that such claims should be dismissed, and there is no reason on this record why this one should prove any exception.

POINT II. THE FMC LACKS JURISDICTION OVER CERTIFIT'S CLAIMS, INASMUCH AS THEY ESSENTIALLY SOUND SOLELY IN BREACH OF CONTRACT.

While the Shipping Act established an administrative complaint process adjudicated by the FMC, which generally has exclusive jurisdiction over complaints based on violations of the Act, it is to be "[n]ote[d], however, that Section 8(c) of the Act requires that complaints alleging breach of contract claims be heard by a court, unless the parties otherwise agree (i.e. arbitration)." T. J. Schoenbaum, Admiralty and Maritime Law § 10-2 n.66 (4th ed., Thomson West 2004) (citing Vinmar, Inc. v. China Ocean Shipping Co., Docket No. 91-43, 26 S.R.R. 420, 1992 WL 231349 (F.M.C. 1992) ("[B]y attempting to retain a claim under section 10(b)(12) of the Act regarding unlawful prejudice and disadvantage, Vinmar would in effect be circumventing the congressional intention that service contracts, once entered into, be enforced by courts or otherwise, but not by the Commission unless the parties agreed . . . Because the parties have entered into a service contract, it would obviously subvert and circumvent congressional intent if the Commission were to

attempt to adjudicate what is essentially an action arising out of an alleged breach of contract.”)); see also, In re M/V Rickmers Genoa Litig., 622 F.Supp.2d 56, 69 (S.D.N.Y.) (“In any event, the Shipping Act was not meant to affect maritime parties' rights and liabilities for purposes of civil litigation.”), aff'd sub nom. Chem One, Ltd. v. M/V Rickmers Genoa, 502 Fed.bAppx. 66 (2d Cir. 2012) (summary order); see also, Pasha Auto Warehousing, Inc. v. Philadelphia Port Auth., No. 96 Civ. 6779, 1998 WL 188848, *7 (E.D. Pa. Apr. 21. 1998) (“This limited declaratory judgment action regarding interpretation of the terms of a contract does not involve any violation of common law or the Shipping Acts. The court believes that the FMC does not have exclusive jurisdiction over this declaratory judgment action, and it would be improper to dismiss for lack of subject matter jurisdiction.”); Zima Corp. v. M.V. Roman Pazinski, 276 F. Supp. 268, 276 (S.D.N.Y.) (“Whether or not defendant is liable as a common carrier rests first, on an interpretation of the nature of defendant's contractual undertaking, and second, on an application of the provisions of COGSA, 46 U.S.C. s 1300 et seq., both matters well within the traditional competence of the courts. Deference to the FMC in such a case is inappropriate.”), aff'd, 633 F.2d 208 (2d Cir. 1980); In re The Container Ship Co. (TCC) A/S, 466 B.R. 219, 229 (Bankr. S.D.N.Y. 2012) (“Turning to the specific Shipping Act violations alleged here, the Movants have not demonstrated that their allegations are within the exclusive or primary jurisdiction of the FMC. Movants' allegations revolve around a central theme: whether the Debtor prevented the Movants from meeting their contractual obligations. Such allegations are in the nature of affirmative defenses to the underlying breach of contract claims in these adversary proceedings and are matters commonly addressed by the federal courts.”) (citations omitted).

Accordingly, “as a general matter, allegations essentially comprising contract law claims should be dismissed [by FMC] unless the party alleging the violation successfully rebuts the

presumption that the claim is no more than a simple contract breach claim.” Cargo One, Inc. v. COSCO Container Lines Co., Docket No. 99-24, 2000 WL 1648961 (F.M.C. 2000); see also, Global Link Logistics, Inc. v. Hapag-Lloyd AG, Docket No. 13-07, 2014 WL 5316345 (F.M.C. 2014) (“[A]lleged failure to address the MQC shortfall under the service contract . . . are also inherently contract claims reserved for the arbitrator and are not within the Commission's jurisdiction to decide.”); Western Overseas Trade and Dev. Corp. v. ANERA, 26 S.R.R. 874, 94 WL 67702, *13 (F.M.C. 1994) (“[W]e conclude that section 8(c) of the 1984 Act deprives the Commission of jurisdiction to hear the amended claims, which, although couched in terms of alleged violations of that Act, seek remedies that would otherwise be available in a breach of contract action if the matter were brought before a court.”); DSR Shipping Co. v. Great White Fleet, Ltd., 26 S.R.R. 627, 31992 WL 66142, *7 (F.M.C. 1992) (“The construction of section 8(c) adopted by the Commission in Vinmar does not frustrate the intent of Congress that the Commission exercise regulatory oversight over service contracts. In concluding that section 8(c) deprives the Commission of jurisdiction to hear a complaint based on conduct that, if proven, would amount to a breach of contract, the Commission in Vinmar made it clear that this did not amount to an abdication of its responsibility to assure that service contracts comply with the 1984 Act.”).

In the matter at hand, CERTIFIT’s whole case rests on the alleged failure to provide sufficient space pursuant to the Service Contract’s MQC provisions. But surely there can be no Shipping Act violation, where there has been no breach of that Contract.

Given the uncertainties in the trade, and as a key factor impacting the applicable rates, the parties to the Service Contract expressly agreed in advance to avail themselves only of particular remedies in the event any failure to meet MQC. See, Bennett Declaration (citing other Appendix

Documents), RX1-8, at ¶ 7. It took pains to memorialize that, “[t]he Carrier and Merchant agree that in light of the fact that the volume and timing of cargo tendered hereunder for particular sailings is in the control of the Merchant, who cannot specify with certainty the amount of cargo which it will tender on any given date, and by virtue of the fact that the Carrier has a finite amount of space on its vessels in which to carry the Merchant's cargo as well as cargo carried pursuant to Service Contracts entered into with other Merchants in the trade, some flexibility is needed by the Carrier with respect to its service commitment to the Merchant hereunder.” Id. CERTIFIT could thus elect to have EVERGREEN “subtract the quantity of cargo tendered but not carried on Carrier's vessel from the Minimum Quantity Commitment.” Id. at ¶ 8. Otherwise, EVERGREEN might be entitled to liquidated damages for any shortfall on the part of CERTIFIT. Id. at ¶ 9.

The Service Contract provided:

If the Carrier fails to fulfill its Service Commitment in Article 3 hereof during the Contract term, the Merchant's remedy shall be either (1) reduction of the Minimum Quantity Commitment by the quantity of cargo tendered but not carried as provided in subparagraph 3.2.1 or, (2) the extension of the Contract term as specified in Clause 3.2.2. The Carrier shall not be liable to the Merchant for any direct, consequential or other damages under this Contract, except as set forth in Article 3, nor shall any liabilities or obligations of the Merchant to the Carrier be subject to any offset or credit by virtue of any monies which the Merchant may claim are due him under this Contract or otherwise.

Id. at ¶ 10.

And there is no dispute that both of these options were offered by EVERGREEN, which stood ready and willing at all times to reduce the MQC and/or extend the contract term, though EGA could offer no assurance that capacity would be timely restored for future sailings. Id. at ¶¶ 18-25. But both options were rejected by CERTIFIT. Id.

Nor has any evidence been presented that EGA and/or EVERGREEN acted in bad faith with respect to the MQC issue. EGA repeatedly timely advised CERTIFIT that the incapacity was due to the unique effects of the COVID-19 pandemic on supply-chain, reasons beyond EVERGREEN's control, and that EVERGREEN was nonetheless not seeking any rate increase. Id. at ¶ 13.

Indeed, and also as widely reported elsewhere at the time, the Federal Maritime Commission has itself since found that the pandemic resulted in “extreme supply chain port and marine terminal congestion” during this period, including, inter alia, “an unexpected and unprecedented surge in consumer spending, particularly in the United States, and supply chain congestion,” which was “the product of the market forces of supply and demand,” rather than any alleged collusive behavior or price-gouging. Id. at ¶ 14.

The evidence of the impact of the pandemic on virtually all commerce can be seen in CERTIFIT's own correspondence, wherein it admitted it was unable to ship cargo during the early months of the pandemic. Id. at ¶ 15. As FFno29 recounts, the impact of the pandemic affected different elements of the supply chain in different ways at different times. Its effects grew on carriers, while some manufacturers, such as CERTIFIT, suffered its ramifications at an earlier stage. Id. But just as CERTIFIT was unable to perform its obligations in the early part of the pandemic, EVERGREEN was overcome by supply-chain failures later in the pandemic. Id.

At no point did EGA or EVERGREEN withhold services to try to secure higher rates. Id. at ¶ 28. Indeed, CERTIFIT's bookings continued throughout, and the only rate increase apparent from the documents provided by CERTIFIT's was the general rate increase (GRI) bulletin email sent in October of 2020 to all customers every month. Id. However, that bulletin had no bearing on the Service Contract at issue, and no rate increase applied to CERTIFIT. Id. The simple facts,

confirmed by the documentary record, as well as EGA's testimony, are that space for CERTIFIT's cargoes was never purposefully withheld, and CERTIFIT was never asked to increase its contract rate. Id. CERTIFIT's irresponsible suggestion that this altogether routine circular amounted to an attempt to extract a higher rate under the Service Contract is thus absolutely false. Id. Nothing in the actual documents supports the allegation, with EVERGREEN, in fact, repeatedly and expressly rejecting the notion of any rate increase for CERTIFIT's Service Contract. Id.

And CERTIFIT's assertion that EVERGREEN put CERTIFIT's space on the spot market is also categorically false. Id. at ¶ 29. Of the 133 total NVOCC house bills of lading disclosed by CERTIFIT, 30 bills of lading (covering 31 Containers) show carriage by EVERGREEN vessels. Id. However, all of them were under Ocean Alliance partners contracts (CMA/COSCO). Id. None of them were under EVERGREEN contract. Id.

The space contractually required to be allotted by a carrier to an Alliance partner is outside the control of the provider, which does not act as the "common carrier" nor issue bills of lading for such space. Id. at ¶ 30. This additional space provided for CERTIFIT cargoes on EVERGREEN vessels was all afforded under bills of lading issued by other common carriers which had complete discretion over the space used. Id. The space was thus not within EVERGREEN's power to use and sell as it pleased. Id. So CERTIFIT's argument that these documents suggest some sort of nefarious conduct or profiteering at CERTIFIT's expense is wholly misplaced and no more than a rather sorry canard. Id.

But in any event, the only party which breached the Service Contract was CERTIFT, by refusing to abide by the agreed contractual procedure in the event of MQC shortfall and, rather, lodging the instant Complaint. As a pure matter of contract, there was never any firm, unalterable

MQC requirement which might open the parties up to the damages alleged. The possibility of such shortfalls was foreseen with particularity and directly addressed in the contract, which allowed for only highly limited, specific recourses. There is no allegation, let alone evidence, that EVERGREEN failed to honor those contract terms, which renders CERTIFIT's claim of Shipping Act violations, and FMC jurisdiction as a result, especially strained. On this ground, too, the Complaint should meet with dismissal.

POINT III. CERTIFIT HAS FAILED TO ESTABLISH THE SERVICE PROVIDED WAS NOT IN ACCORDANCE WITH THE PARTIES'S AGREEMENT PURSUANT TO 46 U.S.C. § 41104(a)(2)(A).

46 U.S.C. § 41104(a)(2) prohibits an ocean common carrier from providing service in the liner trade that is “not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under . . . this title.”

As discussed above, EGA is not a common carrier, so this claim is baseless. See supra POINT I.

Moreover, the Service Contract provided clear, mutual provisions to cover MQC shortfalls and remedies therefor. Simply no breach of those terms, for possibilities anticipated by the parties and addressed in their contract, has been alleged by CERTIFIT. See supra POINT II.

No breach of the Service contract having occurred, there can be no basis for asserting a Shipping Act violation under these circumstances. See, MSRF, INC. v. HMM Co., Docket No. 22-20, 2023 WL 8242695 (F.M.C. Nov. 22, 2023) (“MSRF has not established that HMM acted “not in accordance” with the rates, charges, classifications, rules, and practices contained in the service contract. Accordingly, there is no violation of this section.”); OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co., Dcket No. 21-11, 2022 WL 4017209 (F.M.C. Aug. 31, 2022).

POINT IV. CERTIFIT HAS FAILED TO ESTABLISH ANY UNFAIR OR UNDULY DISCRIMINATORY PRACTICE PURSUANT TO 46 U.S.C. § 41104(a)(5).

“Pursuant to Section 41104(a)(5), “[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . (5) for service pursuant to a service contract, engage in any unfair or unjustly discriminatory practice against any commodity group or type of shipment or in the matter of rates or charges with respect to any port.”

EGA is not a common carrier. See supra POINT I.

But this claim is otherwise wholly misplaced. The FMC has already determined that the Section does not apply to such practices vis-a-vis individual shippers such as CERTIFIT. See, OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co., Dcket No. 21-11, 2022 WL 4017209 (F.M.C. Aug. 31, 2022) (“The complaint does not identify any ‘commodity group’ or any ‘type of shipment.’ The complaint does raise issues about practices regarding rates or charges but does not indicate that the practices are targeted to a specific port. Rather, it appears that the alleged conduct was targeted at a particular shipper. It therefore does not appear that the allegations would fit within the requirements of this section.”). As CERTIFIT has not alleged any discriminatory practice with regard to a commodity group, type of shipment, or port, the claim should be dismissed on this ground, as well.

And CERTIFIT’s proof of any unfair or discriminatory practice is completely absent. See supra POINT II. The best CERTIFIT can put forward is EVERGREEN’s offer to amend the Service Contract so as to include the Port of Taipei. But this is not the type of conduct contemplated by the Section. The proposed amendment would have only added a port, not removed any, and with no change in rates. See, Bennett Declaration (citing other Appendix Documents), RX1-8, at ¶ 16. There was thus no wholesale prejudice visited on a port. Id. It would have just been one amendment on one shipper’s Service Contract. Id.

And, to the extent the Commission is interested, contrary to CERTIFIT's patent misstatement of fact, Amendment SC82616-1 would have left the 1000 TEU MQC unchanged. Id. CERTIFIT confuses two separate proposed amendments sent months apart and having nothing to do with each other. Id.

The first concerned adding the Port of Taipei only in an effort to increase capacity for CERTIFIT cargoes and did not adjust the MQC. Id. Due to persistent equipment shortages at Keelung/Taoyun, it was simply thought Taipei might also be included (at the same rate), so that more CERTIFIT cargo might be booked. Id. It was just an attempt to address the problem of insufficient booking from Kaohsiung, since the approval of the Taipei port would have allowed for more space. Id. Again, as EGA repeatedly advised CERTIFIT, this lack of capacity was due solely to supply-chain snarls with respect to the ports in question. Id. EVERGREEN never held CERTIFIT cargoes back in order to pressure CERTIFIT to agree to the Amendment or for any other reason. Id. EVERGREEN simply advised that some relief might be afforded, if CERTIFIT were amenable to adding the additional port. Id.

The second, sent long after the first had been declined, concerned the MQC only, so that CERTIFIT might avoid liquidated damages for the shortfall as called for by the Service Contract. Id.

To reiterate, CERTIFIT's unfounded insinuations notwithstanding, neither EGA nor EVERGREEN ever tried to coerce CERTIFIT to sign either Amendment by threatening to withhold space, charge a higher rate, or in any other manner. Id. To be sure, the text of the Amendments and the correspondence associated with them confirm that no such conduct on the part of EGA or EVERGREEN ever occurred. Id. And, in fact, CERTIFIT never did sign the Amendments, so the situation remained unchanged in each case. Id. at ¶ 17.

In any event, these entirely ordinary, well-meaning exchanges bear no relation to the Shipping Act violation alleged, and, once again, CERTIFIT's position should be rejected out of hand.

POINT V. CERTIFIT HAS FAILED TO ESTABLISH ANY UNREASONABLE PREFERENCE OR ADVANTAGE WAS PROVIDED TO OTHER SHIPPERS PURSUANT TO 46 U.S.C. § 41104(a)(9).

Section 41104(a)(9) states that a common carrier may not “for service pursuant to a service contract, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port.”

Again, EGA was no common carrier. See supra POINT I.

And again, this Section has no bearing on alleged discrimination toward a particular shipper, as opposed to a port. See, OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co., Docket No. 21-11, 2022 WL 4017209 (F.M.C. Aug. 31, 2022) (“The complaint does not indicate that the alleged undue or unreasonable preference or advantage or prejudice or disadvantage were targeted at a specific port. Rather, it appears that the conduct was targeted at a particular shipper. It therefore does not appear that the allegations would fit within the requirements of this section.”). As CERTIFIT has not alleged any unreasonable preference or prejudice with regard to a particular port, the claim should also be dismissed on this ground.

And, assuming arguendo otherwise, CERTIFIT's proof of an undue preference or advantage is completely absent. See, MSR F, INC. v. HMM Co., Docket No. 22-20, 2023 WL 8242695 (F.M.C. Nov. 22, 2023) (“[N]o evidence was provided to establish that HMM gave a preference or advantage or imposed a prejudice or disadvantage regarding use or avoidance of

any port to the detriment of MSRF. Accordingly, the third element fails and the allegation that HMM violated Section 41104(a)(9) is dismissed.”).

As already discussed, CERTIFIT’s argument that EVERGREEN refused to deal unless the Port of Taipei was added to the Service Contract is not true and belied by the documents both parties have placed in the record, as well as EGA’s unequivocal and unrefuted testimony. See supra POINT IV. CERTIFIT was free to accept or reject the Amendment (which was offered only in the hope of accessing more space for CERTIFIT cargoes), with no impact on rates or other services provided under the Contract, and CERTIFIT did, in fact, decline, since the additional port was apparently unworkable for CERTIFIT, and the contract went on as before unchanged. Id.

As with the others, this aspect of CERTIFIT’s claim is entirely unfounded and should be dismissed.

POINT VI. CERTIFIT HAS FAILED TO ESTABLISH ANY IMPROPER REFUSAL TO DEAL OR NEGOTIATE PURSUANT TO 46 U.S.C. § 41104(a)(10).

During the period at issue, Section 41104(a)(10) provided, “[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . (10) unreasonably refuse to deal or negotiate.” The refusal to deal or negotiate must be unreasonable. New Orleans Stevedoring Co. v. Bd. Of Commissioners of the Port of New Orleans, Docket No. 00-11, 29 S.R.R. 1066, 1070, 2002 WL 33836158 (F.M.C. June 28, 2002), aff’d sub nom., New Orleans Stevedoring Co. v. FMC, 80 Fed. Appx. 681 (D.C. Cir. 2003) (a common carrier should “refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.”); Canaveral Port Authority, Docket No. 02-02, 2003 WL 723336, at *13, *18 (F.M.C. Feb. 24. 2003) (“Refusals to deal or negotiate are factually driven and

determined on a case-by-case basis,” but the burden of persuasion remains with the complainant to show that the refusal to deal or negotiate was unreasonable).

To reiterate, EGA did not function as a common carrier. See supra POINT I.

To the extent the failure to fulfill MQC requirements prior to the recent amendments can even state a claim under this Section, the facts do not support any unreasonable, non-transportation-related reasons for the MQC issues in question. To confirm as much, one need only put aside CERTIFIT’s hyperbole and truth-stretching and read actual the correspondence cited by both parties.

All of CERTIFIT’s correspondence was timely met with responses from EGA consistently advising that the lack of capacity was due solely to supply-chain issues beyond EVERGREEN’s control. See, Bennett Declaration (citing other Appendix Documents), RX1-8. CERTIFIT loads were never held up for any other reason. Id. More CERTIFIT cargoes awaiting space on EVERGREEN vessels might have been taken at Taipei, which was the sole reason for the first proposed amendment. Id. But CERTIFIT’s cargoes were in no way held back at other ports in order to coax CERTIFIT to accept the proposal. Id. The suggested Amendment at that time did not include a reduction of the MQC. Id. And CERTIFIT’s decision to decline the proposal thus had no effect. Id.

The later, entirely unrelated proposed Amendment was designed solely to allow CERTIFIT to avoid liquidated damages, all as clearly and expressly called for under the Service Contract’s MQC provisions under such circumstances. Id. It is thus frankly difficult to fathom how CERTIFIT can twist this commonly presented proposal as somehow representing some sort of ill-treatment on the part of EGA and/or EVERGREEN. Id.

The irrelevant bulletin widely disseminated to all EVERGREEN customers about future rates for new contracts notwithstanding, all of EGA's correspondence repeatedly emphasized that EVERGREEN was not seeking an increase of the rates under CERTIFIT's Service Contract, and no extra payments were ever requested or paid. Id. Nonetheless, CERTIFIT argues that such correspondence amounted to a "tacit" demand that CERTIFIT pay more. Id. EGA is thus at a loss as to how to respond to such a baseless accusation other than to deny it under oath and refer the trier of fact to the actual written record. Id.

EVERGREEN never sold off CERTIFIT space on the spot market. Id. None of the space CERTIFIT found on EVERGREEN vessels via NVOCCs was within EVERGREEN's ability to allocate, as all was controlled by contract partners. Id. CERTIFIT's argument is thus again, cavalier, at best, and, in any event, demonstrably misguided. Id.

And finally, as the actual correspondence shows, EVERGREEN always worked in good faith to negotiate solutions with CERTIFIT. Id. All avenues available under the Service Contract were on the table, and EVERGREEN was more than willing to go along with CERTIFIT's preferences. Id. It just couldn't guarantee the supply-chain issues would be resolved to CERTIFIT's liking. Id. Ultimately, after a compromise appeared to have been agreed, it was CERTIFIT, not EVERGREEN, which walked away and, instead, went on to commence this unfounded proceeding. Id.

The evidence of any unreasonable failure to deal is thus just not here and should result in the ready dismissal of the claim. See, MSRF, INC. v. HMM Co., Docket No. 22-20, 2023 WL 8242695 (F.M.C. Nov. 22, 2023) ("Some of the reasons provided to MSRF for HMM's inability to accept certain requests for space were 'ongoing vessel space issues across the board,' and space filling up quickly due to high demand, requiring early booking. The COVID-19 pandemic

disrupted ocean shipping services, and MSRF acknowledged that the supply chain crisis created significant port backlogs in Asia and the United States and limited the transportation of goods. There was no evidence presented that the reasons HMM could not provide space at various times were false. An inability to provide sufficient space for these reasons is not evidence of an ‘imposition by a common carrier of an unreasonable impediment to a shipper’s access to common carriage.’ Rather, the evidence demonstrates that HMM continued negotiating with MSRF to address the shortfall.”) (citations omitted).

POINT VII. CERTIFIT HAS FAILED TO ESTABLISH ANY UNJUST AND UNREASONABLE PRACTICES WITH RESPECT TO CARGO HANDLING AND DELIVERY PURSUANT TO 46 U.S.C. § 41102(c).

Section 41102(c) of Title 46 provides that “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” To establish a claim for reparations under § 41102(c), a complainant must prove that:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4; see also, Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478 (Dec. 17, 2018); Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367 (Sept. 7, 2018).

Again, EGA is not a covered entity within the meaning of Subpart (a). See supra POINT I.

With regard to Subpart (b), moreover, “[t]he essence of a practice is uniformity. It is something habitually performed and implies continuity . . . the usual course of conduct. It is not an occasional transaction.” Crocus Investments, LLC v. Marine Transport Logistics, Inc., No. 15-04, 2021 WL 3732849, *9 (F.M.C. Aug. 18, 2021) (quoting Investigation of Certain Practices of Stockton Elevators, 8 F.M.C. 178, 201 (FMC 1964)); see also, Carew v. Maersk Line A/S, Docket No. 20-17, 2021 WL 5195751 (F.M.C. 2021) (four instances insufficient); Huangzhou Qianwang Dress Co. v. RDD Freight Int’l Inc., No. 17-02, 2020 WL 5406762, **4-5 (F.M.C. Sep. 1, 2020) (“Complainant contended that releasing three shipments that were transported on three different vessels on three separate occasions without the original bills of lading or its permission was sufficient to satisfy the normal, customary, and continuous element . . . The ALJ correctly found that the conduct here did not satisfy the ‘normal, customary and continuous’ element of § 41102(c).”); id. at *5 (“The absence of evidence that Respondent unreasonably released the shipments of other shippers is also significant.”) (citing 83 Fed. Reg. at 64479 (noting that the Commission’s interpretation of § 41102(c) in the Final Rule “returns the Commission’s focus and priorities to the activities of maritime regulated entities that negatively affect the broader shipping public”); Whitam v. Chicago, R.I. & P.R. Co., 66 F. Supp. 1014, 1017 (N.D. Tex. 1946) (finding significant, in interpreting the term “practice,” that plaintiff alleged “an individual matter between himself and the defendants”)).

CERTIFIT has alleged a solitary inability to meet MQC in the course of a single service contract. Under all known precedent, such a showing is woefully inadequate, indeed, and should not be deemed normal, customary, and continuous within the meaning of Subpart (c).

In addition, as discussed above, no evidence of unreasonableness pursuant to Subpart (d) or otherwise has been presented with regard to EGA's and EVERGREEN's conduct. See supra POINTS II-VI. The MQC shortfall was due to supply-chain congestion caused by the aftermath of the COVID-19 pandemic, all as widely reported and suffered near-equally among ocean carriers and shippers in these trades. See, Bennett Declaration (citing other Appendix Documents), RX1-8; see also, MSRF, INC. v. HMM Co., Docket No. 22-20, 2023 WL 8242695 (F.M.C. Nov. 22, 2023) ("Although HMM exceeded the Service Contract's MQC, MSRF points to a handful of instances when no space was available leaving from a particular port at a particular time. However, HMM did not agree to fulfill every shipment request submitted, in any lane, at any time. MSRF has not carried its burden of producing evidence adequate to persuade that HMM has engaged in a practice that is unjust or unreasonable. Therefore, MSRF's claim under Section 41102(c) is denied.") (citations omitted).

And finally, under Subpart (e), even CERTIFIT's proof of proximately caused loss is lacking on this record. The Service Contract specifically lays out remedies in the event of MQC shortfalls and bars the recovery such money damages. See supra POINT II.

Once more, CERTIFIT's claim is unsupported and should be denied.

CONCLUSION.

WHEREFORE, EGA urges the Commission to dismiss all claims against it and award to EGA attorney's fees, interest, costs, and such other and further relief as may be deemed just and proper.

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Respectfully submitted,

MAHONEY & KEANE, LLP
Attorneys for Respondent
EVERGREEN SHIPPING AGENCY
(AMERICA) CORP.

By: s/ Edward A. Keane
Edward A. Keane
Garth S. Wolfson
40 Worth Street, Suite 602
New York, New York 10013
Telephone: (212) 385-1422
E-Mail: ekeane@mahoneykeane.com
E-Mail: gwolfson@mahoneykeane.com